

The 9 most common reasons Colorado Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Colorado families a month of benefits — each with the HCPF citation behind it, so you can verify before you file, not after the denial letter arrives.

Read this first — the funding-month rule. A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. HCPF does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Colorado private-pay rate — roughly **\$10,159–\$12,182**. Most families lose a month to this timing gap, not to ineligibility.

The 9 denial traps to check before you file

Every trap below is drawn from HCPF policy. Verify each against the citation shown before you submit the Medicaid application.

1

A resource (not income) is placed in the trust

Only the member's own monthly income may go into the trust. Article 4 of the HCPF form provides that the trust holds only the member's pension, Social Security, and other monthly income and that additions of the member's resources are not accepted. Depositing a resource — savings, a gift, the proceeds of a sale, or another person's money — breaks the trust and can push the applicant over the \$2,000 resource limit.

Source: CO Income Trust Form Art. 4; 10 CCR 2505-10 §8.100.7.E.6.a

2

The trust is not irrevocable

Article 2 of the HCPF form makes the trust irrevocable; the member gives up the power to alter, amend, revoke, or terminate it (the trustee may amend only to keep it compliant with income-trust law). A revocable trust does not meet Colorado's standard for a valid income trust.

Source: CO Income Trust Form Art. 2; C.R.S. § 15-14-412.7

3

Missing or altered State-of-Colorado payback clause

The form names the member and the Colorado Department of Health Care Policy and Financing as the sole lifetime beneficiaries (Section 1.02) and requires that, on death or termination, HCPF be reimbursed up to the total medical assistance paid before anyone else is paid (Section 5.02). A missing or altered payback provision invalidates the trust; the HCPF form already contains the required language.

Source: CO Income Trust Form §§1.02, 5.02; 10 CCR 2505-10 §8.100.7.E.6.a(i)

4

Income is not actually deposited or is funded too late

The member's income must be placed into the dedicated trust account each month — or, where direct deposit is not possible, transferred into the account by the end of that month. Income only assigned on paper, or a month in which the income did not flow through the trust, is not covered; there is no back-dating to before the trust was funded.

Source: CO Income Trust Form instructions; HCPF OM 24-044

5

The trust is underfunded

At application and each redetermination the eligibility site uses the HCPF 'Income Trust Ledger' to set the amount that must accrue each month and compares it to the trust account's bank statements. If the trust is not funded with enough of the member's income, the member can lose eligibility, though the eligibility site consults HCPF's Trust Policy and Recoveries Section before acting.

Source: HCPF OM 24-044; CO Income Trust Ledger

6

A barred expense is paid from the trust

For a nursing-facility member the trustee distributes the patient payment, the personal needs allowance, and the allowed income adjustments, and may keep no more than \$20 per month for actual trust expenses such as bank charges. No trustee fees, attorney or accountant fees, court or guardian-ad-litem fees, funeral expenses, past-due medical bills, or other debts may be paid from the trust (Section 5.01(c)).

Source: CO Income Trust Form §5.01(c); 10 CCR 2505-10 §8.100.7.E.6.a

7

Funds are commingled or the account is not dedicated

The trust account must be a separate account titled in the name of the trust and kept apart from the member's own accounts and any funds held outside the trust. Commingling the member's personal money, or anyone else's money, with the trust defeats it.

Source: CO Income Trust Form instructions

8

The member is the initial trustee but no successor is named

Colorado will deny an income trust where the member names themselves as the initial trustee without completing the 'Appointment of Successor Trustee' page. If the member serves as trustee, a successor trustee must be appointed.

Source: CO Income Trust Form instructions

9

An outdated form is used

Since 30 days after Operational Memo OM 24-044 was issued (August 30, 2024), the older 'Declaration of Income Trust' may no longer be used to establish a new trust. Using the current 'Irrevocable Income Trust Agreement' form is the preferred method; an alternative form may trigger additional HCPF review time.

Source: HCPF OM 24-044

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Colorado Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of \$2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if HCPF rejects the trust for a reason traceable to following the kit, you get a full refund.

[See the Colorado kit →](#)

Verify the sources yourself

- Official HCPF template — [Colorado Medical Assistance Eligibility rule 10 CCR 2505-10 §8.100.7.E.6.a \(Income Trusts\); HCPF Operational Memo OM 24-044 \(Income Trusts — Revised Forms and Additional Guidance, effective Aug. 10, 2024\); statutory authority C.R.S. § 15-14-412.7](#)
- HCPF policy manual — [Colorado Department of Health Care Policy and Financing](#)

— James Whitfield, Miller Trust Guide · millertrustguide.com

Informational only. This checklist is not legal advice and is not a substitute for consultation with a licensed attorney. We are not a law firm and we do not practice law. We do not draft legal documents. State Medicaid rules vary and change; verify all information with HCPF and an attorney licensed in Colorado before acting.